conform to the Commission's recommendations in every detail, the India Office managed at the time to avert the threat of a Reserve Bank.

THE GOLD STANDARD AND RESERVE BANK BILL, 1928

During the interval between the Simla session of 1927 and the Delhi session of 1928, the Government of India, drafted a new Gold Standard and Reserve Bank Bill (published in the Gazette of India, dated the January 14, 1928) which reverted to the shareholders' principle but retained many of the features of Blackett's suggested compromise. Blackett had visited London to hold discussions with the India Office in October 1927 and a blueprint emerged whereby the share capital was to be divided between five registers and the size of the Directorate was brought to twenty-four. Here again, the India Office tried to 'queer the pitch for him in various ways'[26] while letting it be known that even if the legislation was passed, the bank would become a reality only several years later.

Although the new Bill was based on the preceding one, it tried to meet in certain respects the wishes of the members of the Legislative Assembly. The new Bill was on the same lines as the amended 1927 Bill with two major exceptions: it would remain a shareholders' bank as originally envisaged and there were also certain changes relating to the share capital and constitution of the Board. The original provision of a share capital of ₹50 million was retained, but the shares were to be of the value of ₹100 in place of ₹500. These shares were to be distributed on a territorial basis and on conditions ensuring wide distribution. Also, no person, firm, or corporation was to be allowed a holding in excess of ₹20,000, whether partly in his own right, or partly, or jointly with others. The Directorate was to consist of twenty-four persons, viz., a Governor, two Deputy Governors, and four Directors (all these were to be nominated by the government); two Directors were to be elected by ASSOCHAM, and the same number by the FICCI; one to be elected by Provincial Co-operative Banks; and one was to be a nominated government official (not entitled to vote). The remaining eleven were to be elected on behalf of the shareholders, viz., three each for Bombay, Calcutta, and Delhi registers, and one each for the Madras and Rangoon registers.